AI | Expert Insights

COMPANY DEEP-DIVE

CEO at Avant.ai Believes Didero Offers Strong Long-Term Feasibility in Procurement AI Solutions

DATE PUBLISHED	INTERVIEW DATE	EXPERT PERSPECTIVE	ANALYST PERSPECTIVE	PRIMARY COMPANY
15 Sep 2026	17 Jun 2026	Customer	Investor-Led (Buy-Side)	PAVUS AI

SMART SUMMARY

Summary

The interview covered the expert's approach to procurement BPO, segmentation of client types, and a detailed comparison of leading AI procurement tools, including Didero, Pavus, Magentic, and Pactum, focusing on their core value propositions, target markets, and differentiators.

EXPERT BACKGROUND

- Nearly 30 years in software services, with the last 17 years as president of two large procurement BPO organizations, leading procurement teams ranging from hundreds to over 1,000 FTEs and managing procurement outsourcing for a diverse client base across micro, SMB, mid-market, and enterprise segments.

EXPERT SENTIMENT

- Believes the greatest long-term value in procurement AI will come from deep workflow and process automation rather than just data intelligence layers.
- Views Didero as having the strongest long-term feasibility due to its integration into procurement operations, while Pavus and Magentic are seen as strong in contract intelligence but more easily replicated or replaced.

TAKEAWAYS

- Procurement BPO adoption is highest in micro and SMB segments (up to 75% in micro, 45-50% in SMB), with enterprise clients typically retaining procurement in-house except for point solutions.
- Didero is best suited for smaller procurement teams needing operational automation and quick scalability, especially in manufacturing and distribution, with strong ERP integration and rapid deployment.
- Pavus excels in contract management, governance, and intelligence, providing value in contract risk management, rebate tracking, and compliance, primarily for mid-market and enterprise clients, but lacks transactional workflow automation.
- Magentic is closely aligned with Pavus in contract intelligence and governance but offers deeper AI integration and broader workflow capabilities, making it suitable for a wider range of clients.
- Pactum stands out for AI-driven supplier negotiation, enabling autonomous or semi-autonomous negotiation processes, with human oversight, and is preferred for direct procurement negotiations.

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Expert Bio

CEO at avant.ai. Current customer of Pavus AI. Senior procurement and BPO executive with experience evaluating and deploying 100+ ERP and AI-driven supply chain solutions, able to speak to vendor selection criteria, procurement automation, and how enterprise clients assess and adopt tools like Pavus AI, Pactum AI, Didero, and Magentic. CEO at avant.ai Former President, Digital Solutions Exchange at Institute of Robotic Automation and Artificial Intelligence. The expert is responsible for guiding IRPA’s 100,000+ global members to establish strategy, drive business transformation through process-led automation and digital business transformation. The expert is a Board Advisor to i-Tuple, a firm engaged by Private Equity, Hedge Funds, and Family Offices to assess target companies across people, process, and technology and validate their investment thesis. The expert also sits on the Board of Payssurance, a healthcare start-up. The expert is a seasoned senior executive with over 23 years of C Level experience across multi-sector Fortune 2000 and start-up companies. The expert's industry expertise lies within Healthcare Administration, Financial Services, and BPO Services. The expert's areas of expertise

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include strategy, operations & administration, RPA/automation, business transformation, technology innovation, process-led reengineering, product development and building global organizations at scale. Prior to that, the expert was Founder and CEO of Skills International - a not-for-profit firm focused on global talent migration and immigration to Canada. The expert was a member of Immigration Round Table co-sponsored by the Conference Board of Canada and the Federal Government of Canada. The expert has been instrumental in helping public companies in Canada to address critical skill gaps. Prior to this role, the expert was Group President, of Xerox’s $1.7B Healthcare Administration and Human Capital Management Solutions, leaving May 2013. The expert managed 1300+ healthcare BPO contracts with Fortune 2000 and SMB clients including delivery, automation and service delivery to their employees. The expert managed a global organization of Sales, Strategy, IT Services, Delivery Operations, Product Management, and Customer Service of 11,300+ professionals across 23 countries. The expert was at the forefront of defining health wellness solutions for customers. During his tenure, the expert increased the RFP-win rates of Xerox Services from 17% to over 38% in less than 4 years. Thereby growing a $192M - zero margin HR Services Business in 2008 to a $1.6B, 23% margin business by mid-2013.

Interview Transcript

Client 00:00:00

Really appreciate you making the time. Really appreciate you willing to share a little bit more about your experiences within the procurement space. What we're really trying to understand is maybe how you have, throughout your experience, worked with multiple organizations and then also in the current one. Looking to do research on some of these AI vendors. To start, it'd actually just be super helpful if maybe you can just give me a little bit more color on your role, the organization you're at, and what the procurement group looks like in terms of headcount and structure.

Expert 00:00:32

Sure. Actually, it's pretty extensive. I've actually been in the software services space almost 30 years. The last 17, I was president of two large procurement BPO organizations, so my procurement teams historically have been very large. We've been doing the procurement outsourcing for a lot of organizations in both the micro, the SMB, and mid-market and enterprise segments. My procurement teams have been in the hundreds of FTEs, to upwards of 1,000+ FTEs. Really, the best way I've described our organization is think of us as McKinsey with a BPO wrapper for procurement. Clients engage us to help them with their procurement strategy, looking at the procurement technologies, workflows, processes, and then ultimately for many of our clients, especially those that are in the micro-SMB and mid-market segment, it's a build-operate-manage model.

We'll lead the RFP, do the technology strategy, help with the deployment, and then manage the ongoing service delivery of the technology, plus our service wrapper around supplier negotiation, PO management, contract reviews, etc., depending on the nature of the BPO services scope. We do that for about 65% of our clients. We've got about 3,200 clients overall. For the balance of 35%-ish or so of the clients, think of it as a build-operate-transfer the capability back to them. Happy to talk about the selection process, the three vendors that I shared, Didero, Magentic, and Pactum, as well as any other questions you may have. I'm happy to go wherever you'd like to go.

Client 00:02:19

Just to confirm, essentially, we'll call it tech-oriented services firm. You guys mainly do the procurement tools, essentially the space, help them deploy, implement, and then ongoing support if they need it. Sorry, go ahead.

Expert 00:02:34

Yeah. It's not just ongoing support. It's we'll manage their procurement process. In that 65% of our clients, we're doing the direct contracting with Didero, Magentic, Pactum, or any of the other ERP or supply chain solutions. For that 35% of the portfolio where we're not delivering the BPO services, that's where we're helping them doing ongoing vendor management and things of that nature. We're unique. We're multi-threaded in that regard, if that makes sense.

Client 00:03:08

Okay. How would I compare the difference between the 65% and 35%? Is the 65% more SMB mid-market, and then 35% is enterprise, and that's why you're doing the BPO for the first group?

Expert 00:03:22

Yeah. As you go upmarket to enterprise, that's where they've got a much more formalized procurement teams on their own. They've got their own processes and workflows. As you go downmarket to micro and SMB, they don't have large procurement. Some don't even have a procurement officer. They're looking for organizations to help manage that ecosystem around procurement. That's a logical split. We've got a couple of enterprise clients where we're doing some portions of outsourcing, but generally speaking, the way you're thinking about it is spot on.

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Client 00:03:59

In terms of the way you consider SMB, mid-market, or enterprise, how do you categorize those different tiers? If you could share, also curious what roughly your scale of the business is?

Expert 00:04:11

Sure. Think of micro-market as less than $250 million of procurement revenue and less than 500 FTEs. SMB is the next segment above. Think of that as 500-2,000 FTEs overall organizationally and about $250 million-$1 billion in revenue overall. That then leads you to mid-market. Think of mid-market as 2,000-10,000

Client 00:04:42

In terms of these ranges, the first group you said $250 million in terms of procurement spend.

Expert 00:04:49

No. Think of that as overall revenue, not procurement revenue. Sorry, I misspoke. Just revenue. FTE and revenue are really the key factors here that define the segments. Mid-market, I was saying, is 2,000-10,000 FTE and $1 billion-$5 billion in revenue. The last segment is your enterprise, which is north of 10,000 FTE and north of $5 billion of revenue. Think of that as your quasi Fortune 2000. Of our 3,200 clients, I would say about less than 5% is enterprise, about 30% is mid-market, 40% is SMB, and the balance of about 15% is micro-market. We're cross-industry. We've got hospitals, banks, CPG firms, consumer and retail, hospitality, oil and gas product, automotive. We're pretty well-diversified in terms of industry sectors as well.

Client 00:05:54

Amazing. Maybe to kick things off, would love to understand the different tools you've evaluated and how you understand their value props or ROI. Anything business that you're describing, frankly, not one that we're super familiar with. What percent of the market would you say uses BPO per what you said, like McKinsey, with a procurement wrapper services versus what percent of the market does it the traditional way, internal resources?

Expert 00:06:21

It's a great question. It's going to depend on industry, and it's going to depend on geography. Generally speaking, the best way I can describe it is as you go up market, like to enterprise, that's where you've got a lot more formality around the procurement functions and the kind of governance around procurement. When they leverage BPO, it's going to be for a point solution set of capabilities. It's not going to be a broader BPO outsourcing around procurement. It's going to be more a tuck-in set of capabilities that either support vendor consolidation or vendor measurement or some components within procurement function, but the broader procurement function is going to reside, generally speaking, with the organization themselves.

As you get down to mid-market, at least based on my 15+ years, you're probably seeing about 15%-20% of mid-market has a material BPO requirement, usually at the lower-end of that mid-market range in terms of size. When you go to SMB, that number jumps up to about 45%-50%. It's more holistic in terms of the range of capabilities because you've got much smaller procurement functions with limited expertise and limited capability or scalability. When you're in the micro-market, it's probably 70%, 75%+, where they're looking at a quasi BPO, where you've got a software solution and a provider like us who can wrap services around. They're usually less complex, less geographically dispersed.

It's a more concentrated set of capabilities around maybe vendor management or things of that nature. It's usually probably 75%+.

Client 00:08:11

Got you. Understanding you've looked at a number of vendors, would love to hear your take on some of the ones you mentioned. Also more specifically Pavus, and how you would bucket maybe the Dideros and the Magentics and the Pactums of the world alongside Pavus, and how you would bucket where these functionally operate.

Expert 00:08:29

Sure. The other one that you mentioned, did you say Pavus?

Client 00:08:34

Pavus, yes.

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Expert 00:08:36

Yeah. I'm pulling up our RFP and vendor focus as well. Happy to do that. I thought I'd start with the way we think about the overall assessment.

Client 00:08:47

Just to confirm, you are a customer of Pavus correct?

Expert 00:08:51

Yes. As you think about that, one of the things is starting with how we do the RFP itself. I'll quickly walk through that very quickly because it'll tell you the way we think about the assessment, because I've probably done north of 130 RFPs where I've led for clients over the last couple of years. There's really four buying dimensions that we look at when evaluating a Pavus versus any of the other solutions, a Pactum or Magentic, etc. The first one is around a product capability. Under product, think of it as there's a couple of subcategories. Usability, the number of systems and interoperability around different platforms, data management, what kind of compliance and reporting is available, what's the user engagement model about, the ease of navigation, those kinds of things.

Those are the factors that we look at from a product dimension overall. Each of these sub-factors, we rate 1-10, one being not important, 10 being the most important. We'll get a consolidated view of what those five or six factors are as it relates to product. The last factor or sub-factor under product is this whole data privacy, security, PII, all that kind of what I would call more table stakes around data management and data governance. That's the first buying dimension. The second buying dimension will be process maturity. Under process maturity, there's three components. Number one is what's their access to best practices and industry norms?

Things like templates, workflows that are ones that can easily be adopted because there's a templatized or a structured approach that newer organizations can leverage. The second subcategory is ease and speed of implementation. The third category, or third subcategory, is what kind of onboarding collateral is available for new team members that join over time. The third buying dimension is pretty straightforward. It's pricing. What is the approach to pricing overall, and what does that look like? Is it on a transaction? Is it licensed enterprise-wide? Those kinds of things.

The fourth buying dimension is vendor referenceability and brand equity in the marketplace. That's the four buying dimensions and then the subcategories underneath each that we look at overall. If I were to rate the four that I can share with you on, hopefully that's enough time to do it, is a Didero, a Magentic, a Pactum, and a Pavus. Walk you through the way we rate, I pulled up our last probably 12 RFPs over the last several months, and I'm just sorting to make sure that I can give you a consolidated rating in each of these four categories.

Would that be helpful just to see how they rate relative to the other four? Would that be okay? I'll go with Didero, Magentic, Pactum, and then Pavus, because that's the way I've organized the sort in our RFP responses. When you think about the product or think of the primary category that they're focusing in on, Didero is really heavily aligned to, the best way to say it is more of procurement, operations, efficiency, effectiveness, and automation. The core buyer there is going to be the CPO, generally speaking. The key metric of success is going to be what's the productivity lift, what's the efficiency or scalability outcome that they can drive?

In terms of how AI is integrated into it, I would say they are at the higher end of the maturity range in terms of where they are leveraging things like contract reviews and digital agents or agentic AI to help drive workflow and data process integration. On the product dimension, they are solidly ending up at between an eight to an 8.5. Where we see clients buying Didero, which is what their key value proposition is going to be is they are very quick to deploy. I'd say there is a good time to value conversation to have. It's minimal deployment complexity. It integrates well. For even a decent-sized complexity implementation, it's a matter of six to seven weeks. It's weeks, not months, in terms of implementation, which is really good.

Across our portfolio, the bulk of the clients where we have leveraged Didero is really ones that are doing more manufacturing and distribution. It's sitting in-house. They've got manufacturing environments globally, plus distribution channels, etc. It's not, at least in our portfolio, not heavily used where clients have got more of an indirect procurement model as part of that. It's got a strong integration with SAP and Oracle or other ERPs like Workday as well. The downside, I would say, of a Didero is if you are highly complex and very sophisticated, it's probably not what the best solution is for what you are looking for.

Again, if you are not in-house manufacturing plus distribution, like you are a hospital, as an example. We don't have any hospitals, for example, where we use a Didero or even a financial services or wealth management. That's where they will be using a Pactum or something else. Why clients buy a Didero is, again, you've got smaller procurement teams, less scalability and skill in terms of scale. They've already got a large ERP, like an SAP or an Oracle install, and they are leveraging that. First, as I said, implementation, etc. AI is heavily in the agent procurement activity, which is email management, supplier communication, PO management, that kind of approach. Pricing-wise, it is more of a platform-based fee with some kind of kickers in terms of volume.

We've also got a couple of implementations where there is a slight kicker for a higher volume of suppliers and users as well. In terms of that segment orientation, the mid-market SMB, enterprise, etc., I would say within our organization, there are a couple in the micro-market, but they are mainly concentrated in SMB and the lower-end of mid-market. That's really where we see Didero show up overall. Let me take a pause to see if that makes sense. Eight to an 8.5 on product. Process maturity, eight to an 8.5 as well. Pricing, they are a nine, very

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straightforward. Brand, they are 7.5 to eight. They are not the most well-known, but they are a solid referral for the clients that are using them.

Client 00:15:43

If I were to ask you, if you were to give me the elevator pitch of what Didero does best, is it automate a process? Is it consolidate a process? Is it extract insights? Is it leverage something in the negotiation? Where's the key value add?

Expert 00:16:00

I would say by far the key value add is going to be around smaller procurement teams that need to drive higher scale of pull through and execution without adding FTE count to do it. One of their strongest capability is operational automation, so how to eliminate a lot of the manual work and drive an AI first agentic integration into that process workflow to drive that. Usually smaller teams, slightly maybe they're trying to drive scale. They're understaffed to a certain degree. This is where the automation and the manual interactions can be addressed very quickly because it's very quick to implement, and that helps drive scale, drives visibility, drives better transparency, and ultimately better execution at that level.

Client 00:16:45

Got it. The other factor I highlighted before is, at least in our portfolio, best situated for organizations that both manufacture and distribute. They've got their own plants or their own locations as well? We can actually just jump to Pavus for the next one, also being run full time.

Expert 00:17:04

Happy to do that. When we think about Pavus overall, I would say primary focus is both contract management and governance focus. The key buyers that we see are going to be the CFO, the CPO, or, at times, if the organization's large enough and they've got internal legal counsel or GCs, we've seen legal, especially around commercial governance relationships, that they can be a key buyer there as well. On the product dimension side, Pavus rates a solid 8.5 to nine. A lot of focus on contractual management, contract intelligence, understanding contract risk management, contract renewal process, an entire contract renewal ecosystem. That's really important. These key buyers are looking for, which suppliers have large contracted terms.

As an example, one of our large hospital groups has over 3,300 suppliers that they get volume discounts with as part of their buying contract. These negotiated terms in terms of volume discounts is a key part of what's being tracked and managed. Rebates are another key part of that collateral that's important. Risk management and risk assessments in terms of contract governance, those are key things that are critical. The key value proposition is this information, especially when you think about larger enterprise or mid-market companies, which is really the target-sized organizations where we see them is, we are seeing them in enterprise heavily in mid-market, heavily in SMB. Not seeing a lot of in the micro-market, and I don't see any there as well.

It is mainly the middle two segments and the enterprise as well. The value proposition is integration with existing applications, whether that's ERPs, whether that's their existing procurement systems, their contract, and their CLM platforms that exist. The intelligence. It goes to the question that was asked. The real insight here, the core value proposition for Pavus is around commercial insight, intelligence, risk management, and governance. It's that kind of a focus. The core modules that we deploy are contract ingestion and review. Looking at metadata, looking at OCR applications to ingest all of that information. There is a whole focus on risk analysis and the intelligence piece around the analytics for rebating, discounting, any kind of pricing components that are unique to the contract.

Another part of the value proposition is very fast in terms of the time to insights. You don't have to be an expert in contracts. A lot of the AI utility uses natural language processing to leverage that. Heavy cross-functional value here, which is why the procurement plus legal plus CFO is a part, and that's natural when you think about the governance structure and the risk, the implications to not managing that well, can be felt across both finance and legal services internally as well. Great utility for large contract base, which is where you see them heavily in the enterprise and mid-market segments, generally speaking.

Another part of the ROI or value proposition is, especially when you think about rebates and incentives that are built into contracts, a lot of organizations manage those in spreadsheets or have procurement officers that have a list of certain vendors they use. Their ability to ensure that they are always getting their optimal discounts shouldn't be a part of a human or labor-intensive activity. It is something that now leveraging the digital agents that Pavus has, you can integrate that in very nicely. The downside is not all sunshine and rainbows. Some of the cons that our clients share is it doesn't create the PO activity. That is got to be the procurement platform itself. It doesn't automate the procurement operation.

Unlike Didero, where we talk about a lot of automation in terms of the manual activities, Pavus is more about data intelligence and execution management versus tactical transactional management of procurement. If there is a way to think about that is two ends of the spectrum, whereas a Didero is very transactional workflow driven, and Pavus is more of, "Now, let me consolidate the information, let me look at the contracts, let me tell you where your risks are, let me highlight issues of governance," that kind of a focus. Unlike a Pactum, which is also different than a Pavus, a Pactum I can integrate vendors and suppliers into that process. I can do the first or second round of

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negotiations with Pactum.

I don't do that with Pavus. The best way I can talk about it is it's more of an intelligence layer, and gives you insights around governance and execution versus a transactional process layer that allows you to automate the actual procurement processes or supplier interactions themselves. Does that make sense?

Client 00:22:15

Yeah, that's terribly helpful. Do you see Pavus being more used on procuring of direct materials, something that goes into your BOM, your cost of goods sold, or indirect, which is whatever you buy for the office, whether it's computers or paperclips or whatever else?

Expert 00:22:33

It's interesting. We tend to have more clients that do the latter. You're using Pavus to identify contractual savings opportunities, some contractual obligations that you may have. Whereas, a Pactum does more supplier negotiation, which is more the first version of what you were talking about. I've got input factors, or I've got components that are building the final product I have, so I'm doing more supplier negotiation. We see Pavus as more of the latter, which is more of the indirect side. What contracts, what volume discounts, what rebates do I get? Are there any nuances that help me drive better performance of the contract? Things of that nature.

Client 00:23:20

Got you. In terms of how you are looking to market the adoption of all these different tools, if you were to stack rank priorities, this changes by ICP. Where would you put Pavus in terms of differentiation, where it lines up in the stack of priorities for a lot of these groups? Just overall, if you were CPO for one of these mid-markets, we'll just call it, because I think that's where we're mainly focused right now. If you had $100, where would you deploy it across the Pavuses of the world, the Dideros, etc. ?

Expert 00:23:53

It depends on what I'm trying to accomplish. If I'm going to focus in on contract intelligence and revenue leakage, as an example, of my $100, I'd put $90 on Pavus because that's the key area of focus that it can drive. Let's say I wanted to look at procurement workflow automation or procurement productivity, I would skew heavily towards a Didero. If I was focused on supplier negotiation, clearly that would be a Pactum above all four of these. By far, Pactum would be the best. If I was focused on just understanding cost savings, it would be Pavus and a Magentic. That's where I would split the dollars. Each of these four do slightly different things in terms of that.

That $100 is going to be focused on where I see the best utility value or outcome.

Client 00:24:47

Worth also double-clicking on Magentic if they are similar to Pavus in that sense. It's probably worth going through both of them. To my understanding, Pavus does negotiations once they have the contractual intelligence saying, "Hey, this is what we're getting from other suppliers, and bringing that forward to the negotiation of the RFP, but not automating it." Where's the differentiation between what they do and what Pactum does?

Expert 00:25:15

That's where Pactum will do a lot more leverage of AI in the negotiation, whereas Pavus doesn't. That's the difference. You're right, there is insight that Pavus will have, which talks about what kind of information is available that helps you in the conversation, but the conversation itself can be driven by Pactum, whereas it can't be driven by Pavus through AI. That's why I would rank Pactum much higher in terms of supplier negotiation, because I think of how is AI being leveraged to actually drive that negotiation versus Pavus, which you're doing that individually, as a human. You're not leveraging AI to do it.

The insight that you gain comes from the negotiation and the rebates and things like that Pavus does very well, but the negotiation process itself isn't enabled through Pavus versus Pactum where it is.

Client 00:26:10

Super helpful. In terms of the actual Pactum negotiations, is that entirely autonomous to the extent where people are just not even in the loop? Is that the differentiator here in the actual negotiation process?

Expert 00:26:25

Yeah. I don't have any client that lets it go on its own, but think of it as it's procurement negotiation that's autonomous in the sense that the initial components are going to be built around that expertise, but there's always going to be a human in the loop as part of that process.

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What you can do in Pactum is, let's say there's a sequence of processes that I've built as an organization, and I've got a structured approach to negotiation. I've got, "Here's step one, step two, step three." I've got almost like a rules-driven process flow. I can adopt that very easily into Pactum and to help the engine adopt that approach. Generative AI is going to continue to learn around that and have options coming out of that.

It can negotiate with a bunch of suppliers. Think of the RFP process where you're doing that first round to get from 20 suppliers to five. I would run all 20 through Pactum, then the only time I would start to get involved is once I've got the down-selected group of vendors. That could be a use case that we could absolutely approach a Pactum for overall.

Client 00:27:43

Would you say Magentic is the closest to Pavus?

Expert 00:27:46

Yes. That absolutely would be. I would say Magentic is much more aligned to that Pavus capability than a Pactum or a Didero is, because their focus is really around, "How did the AI analyzes the contracts? What kind of revenue leakage or opportunity leakage is there? How to audit some of the supplier relationships?" It's more akin to more governance and insight and execution potential or execution risk and failures that are there. It's very much aligned, very similar to Pavus in the case of rebates and discounts. I would say Pavus is slightly better, but if I rated them out of 10, I would say Pavus is a nine and Magentic is an eight to 8.5. They are close. Very close.

Client 00:28:33

What makes Pavus better, or which one do you think is directionally better?

Expert 00:28:38

I would say both have the ability to impact P&L and performance. I would say Magentic is probably a little bit more mature in terms of where and how they are leveraging AI. It's probably slightly better. If I were to rate AI integration value, I would rate Magentic an eight to 8.5, and Pavus would be a solid seven. Where you have less complexity, you don't need a deeper AI integration, whereas Magentic can serve a broader client base, and it goes up market as well to enterprise. It's got a larger scope overall, in terms of what it's doing.

Because I think that the core value proposition is it's constantly looking at procurement through the lens of AI, whereas Pavus does it as well, but it's mainly around rebates and contract stipulations, which Magentic does as well, but it also does pricing agreements. It can do auditing of those agreements. It can coordinate some procurement activities, so it has some workflow interaction that's a lot deeper than Pavus goes. Unlike traditional procurement capabilities, the modules are more AI-enabled in Magentic versus a workflow automation component like you'd have in a normal ERP environment.

Client 00:29:56

Interesting. In terms of maybe the data component that Pavus really integrates themselves with in ingesting everything, creating a knowledge base of all your historical buying, identifying details of the contracts, the volume negotiation points you can now leverage in conversations, how differentiated is the data aspect that they go about in terms of ingesting everything and it can do the intelligence? Do you imagine other vendors being able to do it?

Expert 00:30:25

Yeah, I would say they're similar in that regard. The ingestion process, today with OCR, there's not a whole lot of differentiation. It's pretty commoditized in terms of how you're doing it. I think Magentic does a great job in terms of contract ingestion from reading the components, analyzing spend, similar to what Pavus does, highlighting leakage of revenue components that are there as well, that's similar to what Pavus does. More outcome-based. Both of them, I think, are similar in that regard. I think there's a lot more similarities between the two, and that I think comes down to preference and sometimes pricing and market size that really is going to drive whether you go Magentic or whether you go Pavus.

Do you need a little bit more workflow integration? If you do, then I would lean more towards a Magentic versus Pavus. If all I'm focused on is contract execution, leakage, revenue opportunity, auditability, etc., discounts, those kinds of things, which are much more straightforward when you think about indirect acquisition, indirect procurement, then speed, ease, complexity, etc., I would lean towards Pavus.

Client 00:31:41

Maybe if you were to look at all the tools you evaluated, and maybe not from a procurement role, but as an investor and said, "Hey, I have $100 to invest across any of these tools, how would you chunk up your investments?"

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Expert 00:31:54
If I had $100 and I had to pick these four tools and say, "Okay, how am I going to distribute it?"

Client 00:32:01
Any of the procurement tools. Just curious. Any of the AI ones.

Expert 00:32:08
That's maybe a longer conversation, but I would say again, if I had $100, I would put $30-$35 on Pavus because it's about procurement execution and optimization. I want to making sure I get all of the value that I've negotiated in the contracts. That $35 I would do with Pavus. If I was looking at AI integration in terms of the procurement BPO process, and how I can continue to scale up procurement without adding people.

Client 00:32:40
Regardless of procurement. This is just if you were an investor, investing in the stock market.

Expert 00:32:46
I got $100. I would put $40 on Didero. I would put $30 on Magentic, I would put $20 on Pavus, and I would put the balance on Pactum. The reason the biggest opportunity, I think, for Didero is the fact that it's integrated into procurement operations. Pavus, it's a set of modules that procurement is, but it's not all of procurement, because it's a lot easier for me to add a utility or even I could build a model in Perplexity that says, "Look, I want you to take a look at all of this ingested contracts, and I want you to highlight for each key SKU, my rebate potential." I can emulate or simulate what a Pavus can do.

Probably not as good as it is, but if I don't have a lot of complexity, probably good enough. Whereas I want the capability to integrate in AI into procurement at a much more deeper level than I can get with a Didero overall. Magentic gives a little bit of both. I think the biggest transformation in procurement as it relates to AI is going to be in the guts of how procurement is executed and operationalized, not just in the data and the insights around contract management. That's the reason I would skew towards a Didero versus a Pavus as an example.

Client 00:34:06
Why don't you imagine that same argument for how you could solve for Pavus' use case in Didero's in terms of, "Hey, we could just build out the workflows with Claude."

Expert 00:34:15
Sorry, I'm not sure I understand the question. I was trying to say via Claude.

Client 00:34:22
You're saying you think Didero has longer-term feasibility because it's in the workflows versus Pavus, which is in the intelligence aspect. I'm just curious on the take of, "Hey, I could probably do all this with Perplexity. Why can't you say the same thing about Didero or do you see the workflow?"

Expert 00:34:40
I get it. The reason is because, not to say that I couldn't create the same kind of agents over time in Claude as I could, but I'm looking for speed to domain expertise. Didero has a lot deeper procurement operations automation already native to it, so why would I rebuild it if it's already there? If it's already there, the contextualization of it is already there, and I'd build the agents to do the additional things that I would need because the core workflow and process integration's already there at Didero, so I wouldn't want to reinvent that, and that's the harder part to do, because when deploying AI, everybody thinks AI is really easy to do. It is easy to do if you've got the other three components in place.

What are the other three components? Workflow, process maturity, and data visibility and transparency. AI is the fourth leg of that table. Without the first three, you're not going to get successful AI outcomes. It's going to be problematic. If Didero already does the first three, the additional acceleration of AI makes the value much faster and the utility much better whereas Pavus, to compare, doesn't have the detailed workflow, isn't a workflow automation tool itself. It's just a data orchestration insight layer if you will.

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Client 00:36:01

That makes a lot of sense. Do you guys measure the uplift from implementing these tools? I'm curious what you've seen from the implementation or ROI on some of them.

Expert 00:36:12

That really depends on the client situation. The reality is procurement is a part of SG&A, so when you look at the key metrics of performance, the ones we do measure, and we do it with our Pavus, is what's the cashflow return? What rebates did we get? What percentage of rebates did we achieve? What revenue leakage did we reduce? Those are the metrics that are being framed to leverage the ROI components that exist. That's what we're seeing there in terms of value. It's going to depend on who you see buyer is.

Client 00:36:49

One last question. Pavus AI is essentially oriented, or Magentic goes oriented around getting the intelligence, ensuring or identifying all the savings you can make once all the invoices are captured and you say, "Hey, you are overspending here. This vendor is breaking compliance, etc." Once you find all the savings within a category, do you imagine the value prop diminishing significantly after year one or two, or once it is covered all the categories? Or do you think the compliance agents that ensure ongoing contracts are kept up, like vendors are actually committing to what's in the contracts and not overcharging, or people are buying the right SKUs? Is that compliance component in agents that could be built on top have the long-term value versus just the initial savings?

Expert 00:37:39

That's a good question. I think what we are seeing is definitely what we are capturing in terms of the results and the data highlights what that can be, in terms of additional value. I'm struggling only because it is really we are seeing it client-by-client in terms of how they are measuring that success. I've got to jump because my next call is starting in about 10 minutes. I got to prep for a client call.

Client 00:38:05

Really appreciate all your time and insight. Super helpful.

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